

Lesson 1 Chapter Test: Basics of Accounting

Exam-style descriptive paper with examiner marking scheme

Time 90 minutes	Maximum Marks 50	Coverage Lesson 1 only
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Instructions

1. Question 1 is compulsory.
2. Attempt any four questions from Questions 2 to 6.
3. All questions carry 10 marks.
4. Write concise, structured answers and use accounting terminology.
5. Do not view the marking scheme until the test is complete.

Question 1 (Compulsory) - 10 marks

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| (a) | Define accounting and state the two broad issues involved in the accounting process. | [2] |
| (b) | State the books in which transactions are recorded and classified. | [2] |
| (c) | Name any four financial statements or outputs prepared during summarising. | [2] |
| (d) | Give two examples each of internal users and external users of accounting information. | [2] |
| (e) | State whether Accounting at CA Foundation is subjective or objective, and mention the minimum marks required in the paper to pass, subject to the aggregate requirement. | [2] |

Question 2 - 10 marks

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| (a) | Explain the six stages of the accounting process in their logical sequence. | [6] |
| (b) | Distinguish between generation or preparation of financial information and use of financial information. | [4] |

Question 3 - 10 marks

Riya Traders follows the process below at the end of every reporting period:

- Collects invoices and enters transactions chronologically.
- Groups similar entries account-wise.
- Prepares a trial balance, profit and loss account, balance sheet and cash-flow statement.
- Compares margins, liquidity and solvency with the previous period.
- Explains the results to the owner, lenders and potential investors.

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| (a) | Identify and explain the accounting stages represented by the above activities. | [6] |
| (b) | Classify the above activities between preparation of information and use of information. | [4] |

Question 4 - 10 marks

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| (a) | Differentiate recording from classifying. Include the purpose and the book commonly associated with each stage. | [3] |
| (b) | Differentiate summarising from analysing, using suitable accounting outputs or relationships. | [3] |
| (c) | Explain why interpreting and communicating are separate but connected functions of accounting. | [4] |

Question 5 - 10 marks

Consider the following users: Board of Directors, partners, managers, employees, officers, investors, lenders, suppliers, government agencies and customers.

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| (a) | Classify each user as internal or external. | [5] |
| (b) | Explain any five decisions or assessments for which these users may require accounting information. | [5] |

Question 6 - 10 marks

A business owner argues: 'Accounting is only the mechanical writing of transactions. If profits increased this year, the same growth is guaranteed next year.'

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| (a) | Evaluate the first statement with reference to the complete accounting process. | [6] |
| (b) | Evaluate the second statement and explain the qualities and limitations of useful accounting information. | [4] |

Suggested Answers and Marking Scheme

Equivalent technically correct wording should receive appropriate credit.

Question 1

- (a) Accounting is the process of recording, classifying, summarising, analysing, interpreting and communicating financial transactions and information to interested persons. The two broad issues are (i) generating or preparing financial information and (ii) using financial information. Award 1 mark for the definition and 1 mark for both issues.
- (b) Transactions are first recorded chronologically in the Journal and are classified account-wise in the Ledger. Award 1 mark for each.
- (c) Any four: Trial Balance, Profit and Loss Account, Balance Sheet and Cash-Flow Statement. Award 0.5 mark each.
- (d) Internal users include Board of Directors, partners, managers, employees and officers. External users include investors, lenders, suppliers, government agencies and customers. Award 0.5 mark for each valid example, maximum 2 marks.
- (e) Accounting is a subjective paper. A candidate needs at least 40 marks in the paper and must also satisfy the overall aggregate requirement. Award 1 mark for each point.

Question 2

- (a) Recording: chronological entry of transactions, generally in the Journal. Classifying: systematic grouping of recorded data, generally in the Ledger. Summarising: preparing condensed outputs such as the Trial Balance, Profit and Loss Account, Balance Sheet and Cash-Flow Statement. Analysing: establishing meaningful relationships among items in the financial statements. Interpreting: drawing meaningful conclusions about financial condition and profitability. Communicating: transmitting the analysed and interpreted information to users through statements, ratios, diagrams, funds-flow statements and similar reports. Award 1 mark per stage with a meaningful explanation.
- (b) Preparation concerns creation of accounting data and statements through recording, classifying and summarising. Use concerns analysing, interpreting and communicating that information so users can make rational decisions. Award 2 marks for each side.

Question 3

- (a) Invoice collection and chronological entry represent recording; grouping account-wise represents classifying; preparation of the trial balance and financial statements represents summarising; comparison of margins, liquidity and solvency represents analysing; drawing conclusions from those comparisons represents interpreting; explaining results to users represents communicating. Award 1 mark for each correctly linked stage.
- (b) Recording, classifying and summarising belong to preparation of financial information. Analysing, interpreting and communicating belong to use of financial information. Award 2 marks for each correct group with a brief reason.

Question 4

- (a) Recording is the first-stage chronological capture of transactions in the Journal. Classifying is the systematic account-wise grouping of recorded data in the Ledger. Award 1 mark for each concept and 1 mark for books/purpose.
- (b) Summarising condenses classified data into statements and outputs. Analysing studies relationships between items, such as profitability or liquidity relationships, to make the results meaningful. Award up to 1.5 marks for each.
- (c) Interpreting converts analysed results into conclusions or judgments. Communicating presents those conclusions to end-users in a suitable form. They are separate because one creates meaning and the other transmits it, but communication is useful only when the underlying result has been interpreted appropriately. Award 2 marks for each function and linkage.

Question 5

(a) Internal: Board of Directors, partners, managers, employees and officers. External: investors, lenders, suppliers, government agencies and customers. Award 0.5 mark for each correct classification.

(b) Accept any five relevant decisions, 1 mark each: directors/managers assess performance and plan operations; partners assess profit and financial position; employees assess stability and remuneration prospects; investors assess return and risk; lenders assess repayment capacity; suppliers assess creditworthiness; government agencies assess compliance or policy needs; customers assess continuity and reliability. Equivalent well-reasoned responses earn credit.

Question 6

(a) The first statement is incorrect. Accounting is not limited to mechanical recording. It includes recording, classifying, summarising, analysing, interpreting and communicating. A complete answer should connect the stages to the generation and use of financial information. Award 1 mark for rejecting the statement and up to 5 marks for the process and reasoning.

(b) Increased profit does not guarantee future growth. Accounting information is most useful when it has economic substance, is presented rationally, is free from bias and gives a true and fair view. Users should consider historical experience, current opportunities and other relevant factors rather than relying only on predicted figures. Award up to 2 marks for rejecting certainty and 2 marks for qualities/limitations.

Performance guide

40-50: Exam ready for this lesson. **30-39:** Sound, but revise weak definitions or sequencing. **20-29:** Rewatch the lesson and rewrite Questions 2 and 3. **Below 20:** Rebuild concepts before proceeding.